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YALE POLITICAL MONTHLY

November 1980

Vol. 2 No. 1

Nations, Ideas, And The Sea

Mark T. Lilla

Rent Control: Panacea Or Poison

Joseph B. Rose

Saving The Universities From Themselves

Robert W. Kagan

The Carter Administration And Latin America

Stephen Weiner



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Nations, Ideas, And The Sea

Mark T. Lilla

In the realm of ideas revolutions do occur, but they are usually quite silent. A scientist publishes an esoteric theoretical article in an obscure journal, and it is years before historians of science realize that his work introduced a new paradigm, a turning point in how we view the natural order. In literature and the arts the myth of the solitary revolutionary *artiste*, ignored in his own time but "rediscovered" by later, more discerning generations, is so widely shared that modern writers and artists seem to crave the scorn of their contemporaries, as if that alone will secure their standing posterity.

Revolutions in political ideas may be silent as well, but their gestation periods tend to be fairly short as impatient men and nations seek to make the political world conform to their ideals. There is perhaps no better contemporary example of this than the soon-to-be-completed third United Nations Conference on the Law of the Sea (UNCLOS). Over the past twenty years the idea that the only hope for progress in the underdeveloped world was in emulating the capitalist developed world and obtaining its assistance has come to be replaced by the notion that underdevelopment is a *result* of capitalist development elsewhere, and that progress for the Third World will only come through socialism at home, confrontation in international affairs, and penance by the West. It was only a matter of time, then, before this revolution in political attitudes moved from windy speeches delivered in the UN General Assembly to concrete political reality. In the proposed UNCLOS treaty the embarrassingly crude and confused notions of Third World "leaders," so sharply exposed in the writings of V.S. Naipaul and so courageously challenged by Daniel P. Moynihan, *have found a home*.

If the reader of the popular press is aware of UNCLOS at all, he will have gathered that the proposed treaty is an "historic" document which ushers in the beginning of a new era in sea law. The treaty is surely a recodification of the whole body of sea law, but greater historical significance will probably be found in its treatment of deepsea mining and the general principles governing a "global commons" like the seabed. For it is in these sections of the treaty that the new anti-Western principles have been codified and, in a sense, legitimized. Indeed, our negotiators have worked so hard to dispel the notion that a revolution was taking place, or that certain ideals were at stake, that it makes one wonder how strongly the American foreign policy establishment believes that Western values have anything to do with Western interests. This

revolution has truly been silent and successful because the West has failed to fire a shot.

II

Prior to the 20th century, law-of-the-sea issues were not all that complex or important and international law grew in an *ad hoc* manner, generally in line with the principles of Grotius. Nations claimed relatively narrow territorial waters (for the longest time three miles, the distance of one cannon shot) and the rest of the oceans were considered high seas.

The rise of nationalism, two world wars, and the growth of naval and technical capacity have made the law of the sea terribly important to developed and developing countries alike in the past 30 years. In 1945 the US became the first nation to claim the right to develop the resources of the continental shelf; since then most other nations have followed our example, but some of those which rely heavily on fishing have also extended the limits of their claims to territorial waters from 12 to 200 miles. The first two UNCLOS were held in Geneva in 1958 and 1960 to rectify this latter problem of "creeping jurisdiction"; both were miserable failures.

The attention of the world was more sharply focused on the sea when several American mining firms announced in the early 1960s that they had developed technology capable of mining the deep seabed for important minerals. Since 1873 scientists have known that areas of the deep seabed are covered with small metallic nodules composed of significant quantities of manganese, copper, nickel, and cobalt, but the nodules were considered merely scientific oddities, interesting but unexploitable. But as land-based resources became more difficult to mine and as prices of these minerals rose, several international consortia of mining companies were formed to develop deepsea-mining technology. By the middle of the 1960s it was clear that the consortia had developed several economic mining techniques (some use buckets connected to cables, while others favor hydraulic methods), as well as metallurgical processes to separate the minerals.

As the consortia developed their technologies, they also became aware of the vastness of the sea's mineral resources. Industry is mainly interested in the Clarion-Clipperton zone of the Pacific (an area lying roughly between Hawaii and Mexico) where it is estimated that there are 4-14 billion tons of high-grade nodules. How many tons lie outside this zone is anyone's guess, and mining companies now report that they are finding other minerals on the seabed which are not in the nodules. Suddenly, in the space of a few years, the consortia became like treasure hunters with the only map and the only ship.

The reaction of the less-developed countries in the UN to reports of the mineral wealth and the ability of American, European, and Japanese firms to tap it was swift and to the point: They wanted in. The Maltese Ambassador to the UN, Arvid Pardo, made a stirring speech in 1967 which called for a conference to guarantee that the resources of the seabed remain the "common heritage of mankind." The slogan proved catchy, so a committee was formed to study the matter and, in 1970, planning for a third UNCLOS began. But what was crucial in the committee's earlier deliberations, and what the developed world would soon come to rue, was that the two disparate issues of deepsea mining and territorial waters were, in current jargon, "linked." The committee decided that, rather than confining the Conference to the somewhat conservative task of tightening existing law and helping it evolve to deal with an entirely new issue (i.e., mining), the Conference would recodify all of international sea law at once.

This accession by the West was fateful for two reasons. The first was that any international body based on the UN model of one-nation, one-vote will, these days, inevitably give the edge to less-developed nations and allow itself to become a forum for anti-Western rhetoric. In this respect, the third UNCLOS did not disappoint—every overworked slogan and banal cliché known to 20th century political man has been employed at the Conference, from the "common heritage of mankind" to a "new international economic order" and "technology transfer on a steady and reliable basis." Since the developing nations have the votes, and since the West, particularly the US, has been willing to compromise on seemingly unimportant rhetorical flourishes (a point to which I will return), many of these slogans have entered the somber treaty text intact. Indeed, Article 136 simply states "The Area [the seabed] and its resources are the common heritage of mankind," and Article 266 states, in part, that "States, directly or through appropriate international organizations, shall cooperate within their capabilities to promote actively the development and transfer of marine science and technology on fair and reasonable terms and conditions." The third UNCLOS has not only taken the unprecedented and hubristic step of rewriting an entire body of law, but has also ignored international political realities by allowing the laws to be rewritten, in large part, by a majority of small and ideologically purposeful nations.

The second problem of a strategic nature concerns the linkages which were established between the issues. If two separate conferences had been held and two treaty texts developed, the West would find itself in a much better position today. Traditional law-of-the-sea issues (e.g., definition of territorial waters, passage through straits, use of the continental shelf, conserva-

tion and scientific research) would undoubtedly have been handled quickly and with a minimum of rancor and rhetoric. Agreement on deepsea mining, on the other hand, would have taken longer, but here the West would have had the technical and, hence, the bargaining advantage. Linkage has allowed the less-developed countries to withhold agreement on traditional matters, or on the treaty as a whole, in order to gain concessions on mining. This is particularly true with regard to the increasingly important matter of passage through straits (or the "straits regime" as it has come to be called).

Defense analysts are extremely nervous about the ability of the US to use straits for nuclear or conventional forces in the event of a conflict, especially since the US was denied overflight rights through Gibraltar during the 1973 Mideast conflict. At least one analyst has argued that, on balance, the Soviet Union may be more "strait-locked" than the US, but Elliot Richardson, Chief US Delegate to UNCLOS, has recently and forcefully argued in *Foreign Affairs* that this is of little solace when we consider that in the most important international "hot spot" (the Mideast) the US is totally strait-locked while the Soviets are not. If the US needed to project conventional forces quickly into the "crescent of crisis," it would, absent a treaty, have to obtain border-state permission to use the straits of Gibraltar, Bab al Mandab, Hormuz and or Malacca. A treaty would presumably protest the right to innocent passage; without a treaty, the President would face the prospect of antagonizing and violating the sovereignty of neutral states during a crisis. The question is not whether the US could *physically* break through the straits, but whether a particular President and the State Department would be willing to take that bold step. Sadly, this is the Defense Department's real fear: that we need protection against ourselves, not other nations.

III

Since its ignominious start in Caracas in 1973, the third UNCLOS has plodded through nine sessions. At the first substantive session the Conference was broken down into three committees: one dealing with seabed issues, another with the law-of-the-sea, and another with scientific research and environmental protection. Little progress was made. Since then the Conference has alternated between Geneva and New York and has come to resemble, in one newspaper's unflattering phrase, a "floating crap game." The early sessions are noteworthy for having produced the "Group of 77," a lobbying organization of developing nations which now numbers more than 120 members. The purpose of the Group was to coordinate the activities and votes of these nations in order to maximize their ability to gain concessions from the West on deepsea mining. If the current treaty text on mining is any indication, the Group of 77 has been tremendously successful.

Simply put, the UNCLOS treaty creates the world's first (real) supranational government and gives it the power to decide who will and who will not be allowed to tap the resources of the deep seabed, to tax those who do mine, to carry out mining on its own, and to distribute revenues and technology to developing nations and "people who have not gained full independence" (read Palestine Liberation Organization). The body which has these powers is simply called "the Authority." The Authority itself is made up of a general rule-making Assembly based on one-nation, one-vote representation, a Council of 36 nations which will decide which applicants are allowed to mine the seabed, and an Enterprise which will carry out its own mining.

In order to understand just how independent and powerful it will be, the Authority and its powers must be examined in depth. Any nation or corporation wishing to mine the seabed must apply to the Authority and submit two sets of detailed plans and surveys: One set describes a site to be mined by the applicant, the other describes a site of equal commercial value to be given to the Enterprise. The applicant must also describe the technology to be used and make that technology available to the Enterprise and developing countries on a "fair and reasonable basis." Production will be limited to protect land-based mining countries. Besides levying a yearly tax on all nations to fund independent mining, a tax to be based on UN contributions (meaning that the US will pay one-fourth of the total), the Authority will tax miners at 2-5 percent of the market value of the minerals plus 45-65 percent of the profits. The rules governing distribution of revenues are vague, but it is clear that monies will go towards building the independent capacity of the Enterprise and supporting developing nations and liberation groups.

The rest of the treaty is very important, but has never been all that ideologically divisive. Nations are given 12 miles of territorial waters, another 188 miles of an "exclusive economic zone" wherein the resources of the seabed and the sea are said to belong to the border state, and the economic use of the continental shelf. Other articles provide for limited use of the economic zones by land-locked states, rules for delimitation of territorial waters and economic zones between bordering states, a system for settling border disputes, and, perhaps most importantly in the eyes of the US, protection of innocent passage through straits. Environmental issues were handled pretty much to the satisfaction of all concerned (including environmentalists), but free marine scientific research has been somewhat limited by the Soviet bloc and certain Third World countries.

In essence, then, the UNCLOS participants have

been debating two separate treaties. The first is a much-needed attempt to build consensus for, and codify, sea law at a time when respect for that law is rapidly diminishing in the face of technological change, shifts in the military balance, and a new economic nationalism. The second treaty is nothing less than an attempt to gain legitimacy for the concepts of a "new international economic order" and the "common heritage of mankind," and to realize those concepts in a permanent international organization which will be, at best, neutral to the economic and strategic interests of the West, or, more likely, strongly antithetical to those interests.

IV

Testifying before a Congressional Committee in 1979, Elliot Richardson stated that the mining regime made the UNCLOS treaty text "fundamentally unacceptable"; by September 1980 all but minor matters had been settled and Richardson was saying that an acceptable, indeed "historic," treaty was in hand. Had all that much changed in a year? The answer, oddly enough, is yes and no. In the past year Congress did put pressure on the Group of 77 by passing legislation which says, essentially, that "we will mine the sea without you." But while this lever did lead to a few concessions, the treaty text has really not changed.

Domestic mining legislation has been in Congress in one form or another since 1971. US corporations involved in the deepsea mining consortia and their industry representatives understood that UNCLOS bodes ill for private firms and have made three arguments for some sort of unilateral action. First, they have argued that the US is facing a strategic mineral "crisis" (particularly in manganese for aircraft) which makes the rapid development of the seabed crucial to the US economy and defense. Second, in noting the stagnation in UNCLOS negotiations, they have suggested that domestic legislation would gain concessions by threatening the Group of 77 with permanent exclusion from the seabed. Finally, they have supported legislation in order to allow mining until a treaty is ratified, and then provide a smooth transition to the international regime.

All in all, these are good arguments, but they vary in their importance. The inevitability of a mineral "crisis" is, in my view, exaggerated; while it is true that known reserves of manganese are declining and that they are centered in South Africa, this most likely means that the price will rise or that temporary shortages will result, not that the mineral will be withheld or run out. As both defensive and a transitional measure, legislation makes more sense. Congress has not been favorably disposed towards the UNCLOS treaty, and the idea of pressuring the Group of 77 by threatening unilateral action was very attractive.

The legislation which was passed and finally

signed by the President last June seems to satisfy the mining community and the US negotiators. The act, titled the "Deep Seabed Hard Mineral Resources Act," says that the US hopes to conclude a treaty but that, commencing in 1988, we will allow mining until a satisfactory international regime is in place. The Secretary of Commerce is given the duty of issuing licenses and permits, as well as entering into "reciprocal agreements" with other industrialized nations interested in passing similar legislation and jointly recognizing claims to the seabed. A "grandfather clause" stipulates that any international treaty would have to provide for assured access to the seabed without imposing significant new economic burdens on miners, and another clause provides for future investment protection for those firms which mine before the treaty takes effect.

The provision for reciprocal agreements was artfully crafted and its import was not lost on the Group of 77. In mid-August Germany passed similar legislation, and Britain and France are expected to follow suit within the year. What the Third World faces, then, is the possibility of a mini-treaty between the developed nations, a development which was sketched out by Richard Darman in an influential *Foreign Affairs* article in 1978. Darman argued that many of the strategic advantages of an UNCLOS treaty could be preserved by entering into a series of mini-treaties with single nations or groups of nations, thereby opening straits without creating the monstrous mining Authority. This approach would probably best serve US interests, especially with consensus now formed on many of the law-of-the-sea issues.

But the just-completed ninth session, which is being lauded for its breakthroughs, did not significantly alter the nature of the mining regime. It is true that the voting procedure in the Council was adjusted to give the West near-veto power over certain regulations and other actions (including revenue-sharing with the PLO). But the Council can only turn down applications for mining submitted by a research staff, the composition of which has not been determined, and will have to live with most of the preliminary regulations drafted by a preparatory commission, which also has not been formed. These "breakthroughs" may patch over one of the worst features of the regime, but it is difficult to see how they fundamentally alter a treaty which, just last year, was "fundamentally unacceptable." Our negotiators have been hardworking, patient men; but after a decade of frustrating labor, and with the prospect of going down in history as shapers of one of the most important documents in international law, it is hard not to believe that they just forfeited the game, believing they could achieve no more.

After some minor issues are settled, it is expected

that UNCLOS will return to Caracas (to the scene of the crime, as it were) some time in 1981 for the treaty-signing. The treaty will come into force once it is ratified by 60 nations, but it is not at all clear that it will be ratified by the US Senate. As with any issue that is not forced before it, the Senate has not paid a great deal of attention to the treaty or to deepsea mining; so far many senators have expressed skepticism about the entire UNCLOS effort. How this temperamental body will behave when it must examine the treaty carefully and listen to the various interests (e.g., miners, environmentalists, "One-Worlders") will depend on many factors, among them the support of the current administration and the number of reciprocal agreements signed with other developed nations. Administration support will be crucial. The Carter Administration can be expected to support the treaty, but the Republican platform speaks ill of it, and lukewarm support or rejection by a Reagan administration could very well tip the balance against ratification. Failure to ratify would be a bold step for the Senate, and one which it has, until recently, been unwilling to consider seriously. But the stakes in the treaty and its value as precedent are so high, that its rejection will surely be contemplated.

V

As the UNCLOS treaty approaches the final showdown, present and past American participants in the negotiations are asking themselves the same question: How did we get ourselves into this mess? Indeed, the choice this country faces is a painful one. Either we can accept a treaty which creates an independent, hostile, and powerful international government, or we can reject it and live with the uncertainty over straits and, perhaps, greater conflict in the world over disputed law-of-the-sea matters. My preference, clearly, is that we reject the treaty and instead negotiate mini-treaties and sign reciprocal agreements, but I do not mean to suggest that the choice is easy. When the treaty is debated in the Senate there will undoubtedly be suggestions that our negotiators lacked "backbone" and failed to protect our interests, and that "those minerals are ours and we should just take 'em." This is nonsense. The negotiators worked hard and long, and there is surely something to the notion that the resources of the seabed should somehow benefit mankind as a whole. But surely this sharing of resources could have been accomplished through some system of free access coupled with revenue sharing, or by inviting developing nations to join the consortia; an omnipotent Authority was not inevitable. If there was a failure, it was not a failure of will, it was a failure of ideas.

This past year I happened to attend an early post-mortem on the negotiations. When discussing the lessons which could be drawn from the experience, most

of the participants focused their attention on management or political issues: the need to sort out non-contentious issues early, the need to keep unlike issues separate, the importance of involving Congress in the process. Then one lawyer, a representative of a mining consortium, suggested, rather abashedly, that perhaps the greatest failure was in our unwillingness to defend such abstract and prosaic American notions as "freedom," "capitalism," and "economic growth." I think he is exactly right and that this reveals much about the nation's approach to international bargaining. The Third World is often accused of using rhetoric and slogans in international forums instead of merely bargaining in its own self-interest. But what the Third World apparently understands, and we do not, is that a nation's self-interest is tightly bound to the ideals which it professes and defends. Slogans such as "common heritage," "new economic order," and "technology transfer" really reflect the interests of certain nations in socializing production and plundering the warehouses of American business. What could be more rational and coldly self-interested? Our negotiators at UNCLOS have ignored what might be called typical American ideals in the hope of shaping an agreement which would serve our "real" international interests. They have failed precisely because they would not meet the rhetoric of the Third World on an ideological plane and state quite bluntly that the mining regime should be patterned after *our* ideals because those ideals are superior and hold the best hope of bettering the lot of mankind. Negotiations must surely follow, but our ideals must first be defended.

Of course the negotiators should not be held personally responsible for this ideological failing, for they surely represent the way in which most American

foreign policy specialists feel. Those who look for a "left-leaning" foreign policy establishment in this country are, in my view, quite mistaken. Any cursory review of the major foreign policy journals will demonstrate that the language of *Realpolitik* permeates most of what is written, and I am quite honestly not sure that there are many foreign policy specialists who really believe that our ideals *are* superior. Ironically, it is the West alone which wants to ignore ideals while the rest of the world is quite willing to live or die for them. Realism is to be applauded, but to non-Western nations realism seems to mean the realistic and patient pursuit of firmly-held ideals.

In another context Irving Kristol has written that "a muddled idea can, in time, give birth to some fairly grotesque political realities." There can be no better example of this than the UNCLOS negotiations. Unfortunately, these "grotesque political realities" may multiply, as the US is currently engaged in, or will soon enter, international negotiations on the uses of the moon, the Antarctic, technology transfer, and a "new world information order." In their early stages these negotiations resemble the UNCLOS model and the slogans used by the developing world are virtually identical. Nothing, it seems, is not the common heritage of mankind, and there is no unfavorable condition in the Third World for which the West is not directly responsible and for which it must not make immediate amends. Our success at these negotiations will depend less, I am afraid, on management techniques or negotiating strategies than on our willingness to defend, and to believe in, American notions of capitalism and freedom in international affairs. We will learn again that ideas really matter to the rest of the world. They should matter to us.

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Rent Control: Panacea Or Poison?

Joseph B. Rose

When discussion of rent control in Seattle prompted regional lending institutions to announce that they would halt all loans for multi-family housing construction, concerned citizens and public officials were surprised and dismayed. They had thought that rent control would be welcomed as an effective means of easing housing costs for poor and moderate-income tenants by shifting some of housing's cost burdens to wealthy developers and landlords. The unambiguous response of the financial community was that rent controls are not innocuous transfer payments from the wealthy to the less well-off, but instead crippling restrictions which guarantee an end to new housing construction and accelerate deterioration of the existing housing stock. The debate over whether rent controls are an obvious cure for a city's housing problems or rather an insidious poison, continues to be one of the most hotly debated political issues in many cities.

Adequate housing ranks at or near the top of everyone's list of life's basic necessities. Yet housing, unlike food or clothing, is one of the most expensive and complex products our economy is called on to provide. The immense resources required for housing construction and its high operating expenses impose costs on consumers far in excess of those of any other basic commodity. In fact, in many major northeastern cities where land is scarce and expensive, where property tax burdens are especially heavy, and where housing must provide shelter from a wide variety of environmental conditions, housing costs can easily exceed 25% of a family's annual income. Thus, it is no surprise that residents in many of these cities turn to their local governments to protect them from further increases in housing costs caused by market forces in a shortage and by operating expenses rising because of rampant inflation. Local governments are often inclined to "solve" their citizens' problems by imposing limits on rents through rent control laws. However, while this seemingly logical response to rising rents might temporarily satisfy certain tenants, the local governments inevitably find themselves in the paradoxical situation of having aggravated their municipal housing problems instead of having ameliorated them. Furthermore, by instituting rent controls local governments have added to their problems by eroding their tax-bases and accelerating the process of urban decay. Although rent controls appear on the surface to be a temporary political blessing, they invariably reveal themselves to be a long-term municipal curse.

The first negative effect which rent controls have on a city's housing picture is the acceleration of the rate

at which the already existing housing stock goes into decline or else is taken off the rental market entirely, either by abandonment or by conversion to co-ops and condominiums. Because of inflation, a building's expenses will continue to increase even if rents are frozen. Thus, the owner's return on his investment is continually diminished, usually to the point where his rate of return is significantly below a rate that is commensurate with his risk. At this point, the owner seeks to lower his costs so that he can regain an adequate rate of return on his investment. Since most costs like taxes, insurance, and debt service are fixed, the landlord is pressured to cut back on the only costs over which he has control: maintenance and repairs. Cutting back on maintenance can be very dangerous to the health of a neighborhood and to a city's whole housing stock. One informed observer accurately describes what happens when a rent control ordinance encourages owners to reduce maintenance expenditures:

With maintenance and repairs cut to the bone, buildings begin a decaying process. First, a few buildings in a block become dilapidated, rundown, and hazardous. Then, other buildings follow a similar course and an entire block gives way to deterioration. Consequently, what was a good neighborhood is well on its way to becoming a slum.

In addition to the marked decline of many rental properties because of maintenance cut-backs, municipal rent control laws encourage owners to take rental housing off the market altogether. If an investor cannot get an adequate return from his rental housing, he has a strong incentive to recoup his investment by converting his building to a co-op or condominium. There are no limits on the selling prices of apartments so the converted housing is sold in a free market which guarantees housing to the highest bidders. As Milton Friedman and George Stigler write in *Verdict on Rent Control*: "The free market in housing for sale therefore permits a man who has enough capital to make a down-payment on a house to solve his problem by purchase." The people who can afford a twenty-thousand-dollar downpayment for a sixty-thousand-dollar condominium are not really the tenants who suffer most from rising rents and the shortages of rental housing. Rent control, therefore, has the effect of transferring apartments from rental status where they are affordable to people of more moderate means, to an owner-occupied status which makes them out of reach to people with the most serious housing problems.

The third and perhaps most tragic way in which local rent controls diminish a city's rental housing stock is by encouraging the abandonment of housing units by their owners. After an extended period of deferred

maintenance in which a building is allowed to waste away because of inadequate rents, an owner may well find that income from rents is not adequate to cover taxes and debt service let alone provide an adequate return on investment. At this point, he will abandon the building and effectively remove it from the housing stock. That forty thousand housing units a year are abandoned in New York City in the midst of a dire housing shortage is a strong indictment of any attempt to solve a chronic housing problem through rent controls.

Instead of solving the housing problem, rent control seems to exacerbate it by diminishing the supply of decent housing available to people of moderate means. Sven Rydenfelt, a Swedish economist at the University of Lund maintains in his essay "Rent Control Thirty Years On" that the lower income groups in Sweden were never in so weak and inferior a position in the Swedish housing market as they were after thirty years of rent controls. One of Rydenfelt's countrymen, Assar Lindbeck, has gone so far as to say that, "In many cases rent control appears to be the most efficient technique presently known to destroy a city—except for bombing."

When the existing rental housing stock of a city is ravaged by rent control, the rental housing supply decreases even though demand remains constant or increases. In a free market such a situation would cause a rise in rents which in turn would spur new construction and would eventually allow rents to stabilize. However, when rent control holds rents at an artificially low level, the self-correcting mechanism of the market is undermined and the housing stock continues to deteriorate while new construction grinds to a halt. Even if new housing is exempted from rent controls, the problems created by rent-control legislation are so severe and varied that virtually no new rental construction will be undertaken. The returns from rental housing are so low in a rent controlled city that investors have no incentive to pump money into these areas. A private study reported in the October 1980 issue of *National Real Estate Investor* reveals that in Seattle, the mere threat of rent control legislation which would exempt new construction from its provisions has intimidated banks and other lenders in that area to such an extent that two-thirds claim that they will not make any multi-family housing loans in Seattle. The remaining institutions would make so few loans under such stringent conditions that, "... almost all of the funds that normally would have been invested in apartment loans would be redirected ... to other geographical areas, ... this will almost totally eliminate new construction."

The reason that even control-free new construction does not get built in a city with rent control laws is

that new housing cannot possibly compete with the artificially low rents of the old rent control apartments. Rents of the new apartments would have to be much higher because of increased construction costs and high operating expenses. Under rent control, tenants have no incentive to move from a low rent apartment to a new apartment that costs a good deal more but provides only marginally better housing. Thus the turnover rates of rent controlled housing are very low. New buildings have high vacancy rates while many tenants stay in rental housing that takes up more space than is needed; under rent control it is cheaper to stay in an old oversize apartment than to move into a smaller new one. This has the effect of freezing out the lower income groups who under a market system would occupy the housing vacated by higher income groups as they move to newly built housing. What rent control does is to provide a blind subsidy to higher income groups by encouraging them to remain in their low-rent apartments to the detriment of the rest of the population.

Another reason that investors will not invest in rent-controlled areas is that they fear that although new construction might be exempt from controls at the time of construction, future control legislation would probably include their newly built housing. This would subject their investment to the same troubles that previous investors encountered. Basically, the risk to new investors is just too high and the returns are just too low.

The burdens of rent control legislation are shouldered by every citizen who is not one of the privileged few to be in the apartment of their choice at the time the controls were adopted. The local government itself also pays a sizeable share of the costs without helping its constituents who are most in need of housing subsidies. As more and more housing units are abandoned and as the value of rent-controlled apartments diminishes, the city's tax-base shrinks without an equivalent shrinkage in the amount and range of services it is called on to provide. Combined with increasing tax delinquencies encouraged by rent control and with the administrative costs imposed by rent control legislation, the city which has enacted rent control laws ends up sacrificing many tax dollars. In New York City, the administrative costs of rent control and the large numbers of buildings delinquent on taxes drain about two-hundred-million dollars a year from the city's already empty coffers. Cities can only respond to the tax drain caused by rent controls by shifting the burden to the commercial sector and to the few un-controlled housing units. This increased tax burden gives corporations an added incentive to leave cities like New York. It is not hard to see how the problems which rent control exacerbate build upon one another.

A further needless sacrifice which a city makes

when it adopts rent control laws is the foregoing of the huge injection of resources into the community which accompanies new housing construction. First, the city never gets the tax dollars which new housing provides, but second and more significantly, the community misses out on the hundreds of millions of dollars in construction and rehabilitation spending which, when the multiplier effect is computed, results in tens of thousands of jobs and millions of dollars in extra income. Most cities need higher employment and increased income much more than a deteriorating tax base and a decrepit housing stock under strict rent controls.

Almost every economist from Milton Friedman, the noted champion of the free market, to Gunnar Myrdal, one of the leading advocates of the moderate brand of Swedish Socialism, has derided extended rent control as a ludicrous government policy which makes no economic sense. Yet rent control remains a popular response to rising housing costs. The reason for the continued presence of destructive rent controls in cities like New York was articulated by Senator Thomas Eagleton in an essay, *Rent Control: Curing the Symptoms Not the Disease*:

This prospect of controlling rent inflation can generate powerful, perhaps even irresistible, political

pressures. The hard political statistic in any calculation about rent control is that renters far outnumber owners, and they can put the local city council member in an unenviable hot seat.

Thus, the problem is that any politician responsible enough to speak out against short-sighted rent control legislation is likely to find himself out of a job after the next election. The seeming inability of our cities to get rid of rent controls once they are in place makes it absolutely imperative that cities without these regulations resist the temptation to adopt them. Those cities which are currently destroying themselves through rent control can only hope that enough citizens realize that many of their housing problems are self-imposed and that enough politicians have the courage and integrity to take Senator Eagleton's sound advice:

The experiences of New York, Washington, D.C., and other rent control communities have taught us that we cannot regulate an adequate housing supply into existence, nor can we regulate the price of housing down to meet the means of tenants. On the contrary, we must stimulate and support housing construction, and we must work on raising the means of the tenants to meet the price of housing. Once we have done this, rent control will take care of itself.

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Saving The Universities From Themselves

Robert W. Kagan

The presidents of some major private universities have recently joined the ranks of city mayors, governors and corporate heads to express alarm at the increasing intrusion of the federal government into their private affairs. After twenty years of collaboration between the government and universities in scientific research and social planning, the marriage is breaking up. To the dismay of university leaders, large government bureaucracies have sprung up to oversee the dispensing and use of federal grants, and federal regulations, many of which are the result of twenty years of social planning research, have begun to affect the financial well-being of the private universities along with the rest of society. Where university presidents once welcomed the government and its money on to their campuses, they now protest that their private universities are losing their privacy and their independence.

Although they have chosen to frame their complaints in lofty ideological language, there is reason to doubt that the main objection of university officials is to the principle of government intervention. They may not be too happy about the government telling them whom to hire, whom to admit, and what kind of pension plan to offer, but they really hate having to pay the costs of meeting these regulations. Publicly, most presidents will not question the right of government to impose regulations, but they will complain bitterly of their cost. Harvard's Derek Bok, for instance, has recently suggested that if the government wishes to manipulate the behavior of private universities, it might do better to offer subsidies to reward good behavior rather than impose procedural requirements and regulations, adherence to which costs so much of a university's time and money. Bok grants that subsidies may be ineffective at preventing some forms of undesirable behavior, and that some regulations are unavoidable. In such cases, however, "the government should provide reimbursement for the costs involved, since it is using the universities to achieve broader goals of value to the entire society."

Bok justifies exempting private universities from the costs of equal employment and affirmative action laws by pointing to the fact that a university, unlike a corporation, cannot pass the cost of regulations on to consumers (although students paying over \$9,000 a year to attend college and professors whose salaries have not approached cost of living increase may be surprised to hear this). The private university, Bok's rationale continues, offers a unique service to society, "higher," as Nathan Glazer quipped "than simply

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providing automobiles or toothpaste." Such justifications for exempting the private universities from the cost of regulation, however, are unpersuasive. As Glazer and Yale Law School professor Robert Bork have said,

Higher education is in many ways the same as any other enterprise and if society sets for all of them a requirement that employees must be protected from unemployment, illness, and indigency in old age, or that they must not be discriminated against on grounds of race, ethnicity, sex, handicap, or age, then higher education cannot reasonably—and should not—demand an exemption.

Does Bok recommend that corporations, who might also claim that they are being used as "instruments to achieve broader goals of value to the entire society," also be exempt from the cost of federal regulations? Since he does not, his recommendation seems somewhat self-serving.

What is most troubling about Bok's attempt to solve the problems of the private university, however, is his insistence on looking to the government for help. Since government money will take care of the private university's immediate needs, Bok chooses to ignore the inevitable shackling of the university's independence which his solution invites. The story of the past decade has been that increased federal funding has brought with it increased federal involvement. It is unrealistic, and perhaps unreasonable, to expect this to change in the future. Federal money comes out of the pockets of tax-payers, and the tax-payers are justly concerned, especially in these economically troubled times, that their money is not being put to good use. Whether meddling of this sort is damaging to the university and to society at large is open to question, but there is no reason to believe that federal money will come with fewer strings attached in the near future than it has in the recent past. It is unlikely that the government will, or should, agree to offer the subsidies which Bok wants. And that's the good news. If the government were to go along with Bok's plan, then the 'private' nature of the private university would gradually disappear.

It was with this inevitability in mind that Yale's president, A. Bartlett Giamatti, came forth with a more promising answer to the problem. In his commencement address to the graduating class of 1980, Giamatti appealed to the "corporate part" of the private sector to come to the aid of the private university. Recognizing that "federal money brings federal control," Giamatti proposed turning to the only other source of enormous capital, to that part of the private sector "where the incentive and ability to make profit abound."

and asserted that here lay the salvation of the private university:

To the [corporate part] of the private sector we say that if it does not support the nonprofit part—the colleges and universities, the symphonies, the theaters, ballets, hospitals, the voluntary organizations—one of two things will happen. Either those enterprises will turn completely to the only source of funds large and accessible enough to support them in some measure, the federal government, or they will not survive. Either the nonprofit part of the private sector will go to the government and make the best case for its contribution to the larger society, and will hope the society will listen, and then will live with the consequences of having been attended to, or the nonprofit part of the private sector will cease to make its contributions, locally and nationally, in education, medicine, the arts, and will close up—in either case, cease as a private enterprise.

Giamatti's approach to the problems of the private university is a welcome change from the outdated and discredited thinking behind Bok's recommendations. While Bok and many others continue to believe that government can solve all problems, even those which it has created, by spending more money, Giamatti has the wisdom to see that the university's problem is the government and that he must turn elsewhere for help.

The question is, how receptive will or should the corporate world be to Giamatti's plea? The time may be right for an entente between business and the universities. They do face a common problem in the ever-growing intrusion of the government. Federal regulations, of course, have been a constant annoyance to corporations since the beginning of the century, but up until the last decade or so, these regulations were designed primarily to protect the free market. Now, in the business world, as in the academic world, regulations have made freedom more scarce. An alliance between business and academia to resist and reverse this trend of increasing government control would greatly benefit the private sector and, indeed, all of society. But business and academia are not natural allies. The universities are newcomers to the fight against federal intrusion, and they have been on the other side for so many years that the business world must view the sincerity of their defection with skepticism. Such doubts are even more justified by the kinds of proposals which university leaders like Derek Bok have been offering. The fact is that most members of the academic profession are not at all ready to adopt Giamatti's approach. Many view the idea with horror and disgust, for the picture of the corporate world as a gang of malevolent profiteers remains largely unchallenged on many American campuses, and the corporate world's perception of the university as an enemy of business will not evaporate

just because the universities now need corporate money. Nor does Giamatti, to his credit, promise that the private universities will become a friend of business if they receive corporate support.

Why, then, should business support the private university? Giamatti offers his answer as a challenge to the corporate world:

If the corporate part of America truly wants certain of its convictions set forth, in ways that insure the integrity of non-governmental alternatives, and the precious values of free inquiry, and of a life relatively unencumbered by federal regulation; if the corporate part of the private sector is really interested in a free market—of ideas—then it ought to act on its convictions, and support the nonprofit part of the society.

Giamatti makes it clear that what the university has to offer is pluralism. The university must be a critic "of the private sector it inhabits, of the government it respects, of itself as an institution and as the guardian of a process." Giamatti does not propose that the university become a loyal supporter of the corporate world, and the corporate world must not expect such support. What it can expect is that the private university's posture toward both the government and the corporate sector will be partly as advocate, partly as adversary, but never monolithic. Freedom of ideas is as essential an element in a liberal capitalist democracy as freedom in the marketplace.

Giamatti is really asking the corporate world to take a far-sighted, rather idealistic view of its relationship with the academic community, to act in what he would claim is its self interest rightly understood. Although he never refers to the anti-business feelings so prevalent at Yale and other universities, his implicit message to the business world is: the same freedom which permits the university to speak out against business will also enable it to speak in support of business, and that "the stimulation and criticism from the university able to exercise its independence are as often directed at the public sector, as they have been in these remarks, as much as at any other part of society." If the corporate world allows the university to fall completely into the hands of government, Giamatti warns, then there is little hope that "non-governmental solutions to the nation's needs" will ever be voiced, that pro-business opinion will ever have a fair hearing on the nation's campuses. For its own protection, therefore, the corporate sector must support the private university.

It is asking a great deal, however, to expect corporate leaders to adopt Giamatti's vision of this ideal relationship between business and academia, for it demands from them unilateral trust. How can corporate leaders be sure that the universities will fulfill their part

of the bargain and defend the non-governmental solutions, defend the principles of free inquiry and pluralism? The answer is, they can't be sure. They must trust the university to maintain its integrity and resist all threats to academic freedom, both from without and within. This trust is the crucial bridge between the business and academic worlds. Without it, cooperation of the sort which Giamatti envisions can never exist.

It takes more than speeches to build this kind of trust, and if the words in speeches bear little resemblance to the actions of the speakers, then it will be a long time before the corporate pocketbooks start opening. One would think that Giamatti, as a leading spokesman for the new alliance between business and the private university, would be able to point to his own university with pride as a bastion of pluralism and free inquiry; or, failing that, he might be able to show the many efforts he has made to make Yale more protective of academic freedom. For if the man who preaches is himself a sinner, he can't hope to convert others to his point of view. Unfortunately, the gap between Giamatti's philosophical position, as enunciated in his commencement address, and the true condition of free inquiry at Yale University is enough to make the least cynical corporate leader doubt the sincerity of Giamatti's words.

Pluralism has not been adequately protected at Yale, and particularly in an area of special concern to the business world. Anyone familiar with the Yale Political Science Department knows that one attitude toward the corporate world has held sway for many years. That attitude is decidedly negative. William Buckley pointed this out in 1951, and it is even more true today. Even some of the faces haven't changed. Charles Lindblom, whom Buckley singled out twenty-nine years ago as a leading proponent of this anti-business philosophy, is now one of the most powerful men at Yale. He is president of the American Political Science Association, and his book, *Politics and Markets*, a notorious attack on the corporate world, has made him a leading figure among political scientists.

Now it is fine, and perhaps necessary, to have this opinion represented at a private university, but it is unpardonable for this to be the only opinion expressed in the classrooms. Yale undergraduates can and do go through four years of education and *never* hear a kind word about the corporate world. Needless to say they hear many unkind words. Ironically, Yale sends hundreds of men and women into business careers each year. It is little wonder that a major problem of the business world today is its inability to defend itself from criticism and to make clear its valuable role in society. Young businessmen and women were not taught about that role at schools like Yale, and they may not even believe it themselves. Yale College has failed

to give both sides of this ideological battle anything like equal representation.

The fact is that the Yale Political Science Department has become almost monolithic in its view, and Giamatti, despite his rhetoric to the contrary, has seen this to be true and has given his consent to it. One incident alone serves to demonstrate this. A little over two years ago, a young professor named Thomas Pangle was denied tenure by the department. He appealed this decision and the university appointed a committee to review his case. Anyone familiar with the details of the case, and many of the documents and conversations were made public, knew that Pangle was discriminated against because of his political views. Pangle is a follower of the "Straussian" school of political theory, a school considered by many to be politically conservative. In Pangle's case the Straussian label and his alleged conservatism were the decisive factors in his failure to receive tenure. That he was an extraordinary teacher was undisputed. His scholarship was judged to be first rate. In his appeal to Giamatti and the Yale administration, Pangle offered significant evidence that the political science department had discriminated against him on political and ideological grounds.

In a shocking and unprecedented act, a special ad hoc committee appointed by the Yale administration to review the denial of tenure to Pangle overturned the decision and proposed that Pangle be reviewed for tenure a second time. The committee's report did not mention the fact that Pangle had been discriminated against for political reasons. The fact that the ad hoc committee did not acknowledge that Pangle had been discriminated against doomed his chances for tenure on the second review. The review committee held Pangle to extraordinarily strict standards which violated the guidelines for tenure review that President Giamatti had laid down only a few weeks earlier. Many people familiar with the case complained that the committee's report and the subsequent review had been a whitewash which offered little chance that Pangle could ever receive a tenured position at Yale; however, Giamatti accepted the report without reservation.

The Pangle case revealed a surprising callousness on the part of Giamatti and his administration toward questions of pluralism and academic freedom. For one who fervently proclaimed that defense of free inquiry is the duty, indeed the *raison d'être* of the private university, Giamatti did little to protect this freedom at his own institution. His behavior cannot be attributed to anti-Straussian or anti-conservative bias. He was simply being protective, of the political science department's reputation and of Yale's reputation. Throughout the case, there seemed to be an unspoken agreement to create as little controversy as possible. The Morgan committee overturned the department's decision be-

cause not to have done so would have caused a scandal. It cited no evidence of political discrimination because this, too, would have caused a scandal. As for Giamatti, he simply never admitted that there was a problem.

Giamatti's "stonewalling" strategy was remarkably short-sighted. If Yale was spared newspaper headlines and public charges of political discrimination, the university's integrity, and Giamatti's, were subtly undercut, and this did more harm to the private university than any number of federal regulations. When Professor Arnold Harberger's appointment as professor of economics and director of the Harvard Institute for International Development was blocked because of his alleged activities in Chile, Derek Bok issued an open letter to the Harvard community deploring such political prejudice. The letter had no effect, but Bok was honest enough to admit that an injustice had taken place. Giamatti refused to make such an admission, and his lack of candor cost the university more than he may have imagined.

Corporations today do support private universities, but inadequately and largely with a view to furthering narrow corporate interests. Business leaders are advised to support only those institutions which will in some way benefit their corporation, and to make these contributions increasingly in the form of restricted funds. David Packard, one of the advocates of this kind of support, has asked:

Should our corporation make an unrestricted contribution and leave it to the trustees of the administration or the faculty to decide how the money should be used, or do we have a responsibility to our stockholders to be sure that money contributed will, in some defensible way, benefit our corporation?

Packard recommended focusing money and energy "on those schools and departments which are strong and which also contribute in some specific way to our individual companies, or to the general welfare of our free enterprise system." Long before Giamatti's speech, Irving Kristol, a professor at New York University's Graduate School of Business, suggested that if the private university wanted corporate support, it would have to earn it:

It does not follow that businessmen and corporations have any obligation to give money to institutions whose views or attitudes they disapprove of. It is absurd to insist otherwise yet this absurdity is consistently set forth by college presidents, and in the name of "academic freedom" no less. When David Packard and William Simon made the perfectly reason-

able suggestion that corporations look before they give, and discriminate among friend, neutral and foe in their philanthropy, they were denounced in the most vehement terms by universities which seemed to think they had some kind of *right* to that money. They have no such right. If they want money from any particular segment of the population, it is their job to earn the good opinion of that segment. If they are indifferent to that good opinion, they will learn just how to be indifferent to the money too. That's the way it is, and that's the way it's supposed to be in a free society where philanthropy is just as free as speech.

Packard and Kristol both make sense. They look at today's private university realistically and recognize that, if the corporate world wants to be defended on American campuses, it must wield its influence. It must reward those who defend its position and not those who attack it. It is a pragmatic response to the present condition of the American private university, where one finds in great abundance members of what Kristol calls the 'New Class,' who "sincerely believe that the larger portion of human virtue is to be found in the public sector, and the larger portion of human vice in the private," as well as university leaders who propose exempting their institutions from the costs of insuring equal opportunity and job security, and happily transfer that burden to private citizens and the corporate sector. The corporate world's response to the anti-business bias of the private universities is understandable. The disparity between Giamatti's words and his actions raises serious doubts that the university can be trusted to deliver what it promises. If there is no hope that the university will allow diverse opinions to exist, then the business world might just as well try to buy what support it can.

The academic world is on the brink of a crisis because it has failed to recognize its proper role. The primary responsibility for avoiding this crisis, moreover, lies not with the government, as Derek Bok claims, nor with the corporations, as A. Bartlett Giamatti claims, but with the private universities themselves, and the private university has not yet shown that it takes its role as protector of pluralism and free inquiry seriously. For too long the university has considered its behavior beyond reproach. The time has come for the universities to admit that they have inadequately fulfilled their role in society in recent years and set about the task of reforming themselves to carry out that role in the future. Their survival depends on it.

The Carter Administration And Latin America

Stephen Weiner

Preoccupied with events in Iran and Afghanistan, Americans have paid relatively little attention to the Carter Administration's mismanagement of U.S. relations with Latin America. Since 1977, the U.S. has antagonized Mexico and former United States allies in Central and South America, and unsuccessfully courted Cuba and other leftist nations. These policies enabled Cuba, with Soviet support, to exploit mounting political unrest in the region.

Khrushchev once remarked that the United States was spoiled, having had friendly neighbors and two great oceans on its borders throughout its history. Latin America, with its rapidly-growing population of over 330 million, is vitally important to the United States. Fifty-two percent of U.S. oil imports are shipped through the Caribbean. U.S. investments in Latin America exceed \$20 billion, and U.S. annual exports to the area tripled between 1967 and 1979 to nearly \$20 billion.

A significant deterioration in U.S.-Mexican relations alone would pose a grave threat to American security. Cooperation with Mexico, with its 45 billion barrels in proven oil reserves and 200 billion barrels in potential reserves, could help the U.S. overcome its energy problems.

After the Carter Administration vetoed the sale of Mexican natural gas to six American companies in 1977, the outlook for U.S.-Mexican cooperation in the energy field looked bleak. The Administration argued that a price of \$2.60 per thousand cubic feet was too high. President Lopez Portillo, outraged, sought customers in Europe and Japan.

Anxious to improve relations, President Carter met with Lopez Portillo in Mexico in 1979. At a banquet there, Carter parried Lopez Portillo's complaints of American "surprise moves and sudden deceit" with an embarrassing reference to "Montezuma's revenge."

A later agreement linked the price of imported Mexican natural gas to the world oil price. By 1980, the United States imported Mexican natural gas for \$4.47 per thousand cubic feet.

This summer, U.S.-Mexican relations took a turn for the worse. President Lopez Portillo and Fidel Castro issued a joint communiqué from Havana. The two leaders called for U.S. withdrawal from Guantanamo Bay, an end to U.S. overflights of Cuba, and the termination of the U.S. trade embargo against that nation.

As the Carter Administration antagonized Mexico, it imposed sanctions on U.S. allies throughout Latin America. President Carter explained his priorities in 1978: "We have placed great importance on the

protection and defense of human rights, on halting the proliferation of nuclear weapons capabilities, on restraining conventional arms sales" He expanded on congressional initiatives which banned aid to Chile in 1976, and Argentina in 1978.

Other nations rushed in to fill the vacuum created by a ceiling on U.S. arms sales. By 1979, the U.S. ranked behind West Germany, France, and the Soviet Union in arms sales to Latin America.

Since 1977, the Administration has opposed U.S. aid to Argentina and voted against 18 of 20 Argentine requests for Inter-American Development Bank loans. Alienated by U.S. policy, Argentina exchanged military missions with the Soviet Union, and agreed to sell the Soviets an additional 2.5 million tons of wheat to circumvent the U.S. grain embargo.

American-Brazilian relations soured after President Carter linked U.S. aid to the human rights situation there, and tried to block a West German sale of nuclear reactors and fuel reprocessing plants to Brazil. Brazil cancelled its twenty-five year old military assistance treaty with the United States.

The Administration has opposed every Chilean request for multi-national development bank loans. At the United Nations, the U.S. has joined with Cuba to sponsor resolutions condemning Chile.

After the Chilean Supreme Court rejected an American extradition request in 1979, the U.S. suspended Export-Import Bank financing and Overseas Private Investment Corporation guarantees, and withdrew the U.S. military mission from Chile. In an unprecedented move, the Carter Administration recently excluded the Chilean navy from the annual North and South American naval exercises.

Uruguay and Paraguay, authoritarian regimes with capitalist economies, receive no American aid. After the latest military coup in Bolivia, the U.S. suspended all assistance to that nation.

While the Administration condemned former allies for violating human rights, it courted Cuba. President Carter explained in 1977: "I believe that there is an inclination of the American people to continue toward a full friendship with Cuba, and I have that as an ultimate goal."

President Carter suspended U.S. intelligence overflights of Cuba, opened an interest section in Havana, and accepted a Cuban interest section in Washington, D.C. He also removed U.S. restrictions on travel to the island, and concluded a fishing agreement with Fidel Castro.

Castro endorsed Carter for re-election, as "the only President in the last 20 years to have made some positive gestures toward Cuba." Despite his praise for

the President, Castro continued to violate human rights in his own country, and increased the number of Cuban troops and military advisers in Africa to 36,000, and the number of technicians and teachers there to 14,000.

When forced to admit that a 2,600-man Soviet combat brigade was stationed in Cuba, President Carter declared: "the status quo is not acceptable." Unable to persuade the Soviets to remove their troops, he accepted their "assurances" and a continued military presence.

President Carter also announced counter-measures, including renewed surveillance of Cuba and military maneuvers in the Caribbean. The Administration recently cancelled a U.S. show of strength at Guantanamo.

The Carter Administration gave the thousands of Cuban refugees who fled to the United States to escape Castro's human rights violations a mixed reception. A naval cordon and fines of up to \$2,000 per refugee have reduced the exodus to a trickle.

Faced with economic difficulties and rising Cuban influence, the island states of the Caribbean are tempted to emulate the Cuban model of development. In Grenada, population 100,000, Maurice Bishop overthrew eccentric Prime Minister Gairy in 1979. Bishop has welcomed Cuban advisers and technicians, jailed nearly one hundred political opponents, suspended elections, and closed the island's only newspaper.

Just one month after the Carter Administration restored U.S. aid to Jamaica, Prime Minister Michael Manley hailed Fidel Castro as "one of the great leaders of the twentieth century." Since then, Manley has welcomed hundreds of Cuban technicians and teachers to the island. At the Non-Aligned Nations Conference in Havana, he called for Puerto Rican independence. Political violence, including attacks on American embassy personnel, is mounting as Jamaican elections near.

Marxist Guyana also benefited from 'Latin De-tente.' The government of that South American nation, which is consolidating its control over radio broadcasting and the print media, receives U.S. economic and military aid.

President Carter's policies have contributed to an increase in Cuban influence in Central America. By February 1979, the U.S. had cut economic assistance and severed all military ties with the Somoza regime in Nicaragua.

Members of the Sandinista Front, a Marxist alliance founded in Havana, dominate the Nicaraguan government. The Sandinista leadership has expressed its solidarity with the Soviet Communist Party. Nicaragua also welcomed 1,200 Cuban teachers, and sent 600 children to Cuba for education.

While Somoza's abuses cannot be condoned, the

State Department has noted that post-Somoza human rights violations include the incarceration of over 7,000 political prisoners, and 400 summary executions. No elections are planned before 1984.

The Carter Administration has vigorously lobbied for over \$125 million in aid to Nicaragua. Perhaps this aid can be used to further human rights there.

A five-man military-civilian junta seized power in nearby El Salvador in 1979, overthrowing an authoritarian president. Fearing that aid to the junta would disturb the Sandinistas, and citing human rights violations, the State Department initially opposed aid to El Salvador. Administration policy changed as evidence mounted that Cuba was training and supplying leftist guerrillas attempting to overthrow the government.

Under pressure from the Carter Administration, the junta expropriated 60 percent of the richest farm land, and nationalized the banks and foreign commerce. President Carter lauded these actions as "the most sweeping land reform efforts that I have ever witnessed." The reforms contributed to a decline in foreign and domestic investment, and damaged the vital coffee industry.

U.S. Ambassador Robert White, sent to El Salvador to bring moderate leftists into the coalition supporting the junta, found the leftists irrevocably committed to armed revolution.

Guatemala, a nation of over seven million located on the border of oil-rich Mexico, is of vital strategic importance. Tens of thousands of Guatemalans have died in fighting between rightist death squads, the government, and leftist guerrillas.

The Carter Administration has begun to sever U.S. ties with Guatemala. It abstained on a Guatemalan request for multilateral development aid in May, 1980, and has not requested military assistance for Guatemala for fiscal year 1981.

The U.S. Ambassador to Guatemala has said that this policy could intensify the bloodbath: "It is not in our interest (or perhaps even in our nature) to be perceived as predicating and publicizing our actions in Guatemala on the assumption that the radical changes proposed by the ideological left are the wave of the future . . . By seeking to articulate our policy in such terms, we raise to new heights the paranoia of the far right and embolden the far left, with foreseeable consequences for the middle."

In defense of its policies towards Latin America, the Carter Administration can point to improvements in the human rights situation, and a trend from military to civilian governments. There have been no confirmed disappearances of Chilean citizens since 1977. Peru recently completed its transition back to democratic rule. Much of the apparent progress, however, can be attributed to internal political evolution. The gains may

also be impermanent, as the recent return to military rule in Bolivia demonstrates.

The Carter Administration has also been oblivious to trade-offs which, on balance, damage the cause of human rights. Administration hostility towards Argentina weakened a grain embargo meant to help the Afghans and other victims of Soviet aggression. An arbitrary ceiling on U.S. conventional arms sales reduces U.S. leverage over the human rights situation in other nations.

Anxious to abandon America's "inordinate fear of Communism," the Carter Administration adopted a double-standard of appeasing Cuba and other leftist

nations. Despite its sagging economy, Cuba's influence in Latin America has consequently grown.

Fidel Castro was an honored guest at Nicaragua's celebration of the first anniversary of the Sandinista victory. He condemned the U.S. for giving too little aid to Nicaragua, but conceded that U.S.-Latin American policy was better than ever. Americans can take little solace from such praise. Nor does Castro's joint communiqué with Lopez Portillo bode well.

While Cuba continues to export its bankrupt Marxism, the Carter Administration drifts from one crisis to the next, leaving the future of Latin America dangerously uncertain.

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